QRU Pivot Points in Day Trading - Book

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CHAPTER 1

Finding Turning Points and Drawing Key Lines with Sports and Football-Field Analogies

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1. What This Book Teaches

Day traders use charts to study how prices move during the trading day. One of the most important skills they learn is how to identify turning points-places where price may stop rising, stop falling, pause, reverse, or accelerate.

These possible turning points are often called pivot points.

This book explains, in introductory language:

- What pivot points are
- How traders locate important highs and lows
- How traders draw key chart lines

- Why support and resistance matter
- How sports and football-field analogies can make charts easier to understand
- Why pivot points are useful but never certain

The goal is not to turn you into a day trader overnight. The goal is to help you understand what traders are looking at when they say:

"Price is near a pivot."
"That level acted as resistance."
"The market bounced off support."
"Watch the high of the day."

2. The Big Idea: Markets Move Like a Game

A chart may look like a confusing line or a field of red and green candles, but traders often see it as a live contest.

Think of a market as a game between two teams:

- Buyers want the price to go up.
- Sellers want the price to go down.

Every trade is like a play on the field. The price moves depending on which side is stronger at that moment.

Sometimes buyers push forward. Sometimes sellers push back. Sometimes both sides fight around the same area for a while.

A pivot point is an area where the game may change direction.

It is like a spot on the field where momentum shifts.

3. What Is a Pivot Point?

A pivot point is a price area that traders treat as important because price previously turned, paused, reacted, or may react there again.

In plain language:

A pivot point is a place on the chart where traders watch to see if price will turn, bounce, break through, or stall.

Pivot points are not magic numbers. They are reference points.

They help traders ask better questions:

- Is price likely to bounce here?
- Is price likely to break through?
- Are buyers defending this level?
- Are sellers blocking price at this level?
- Is this area important because price reacted here before?

Pivot points help traders organize the chart.

Without them, the chart can look like random movement. With them, the chart begins to look like a field with zones, boundaries, and pressure points.

4. Two Common Meanings of "Pivot Point"

The phrase pivot point can mean two related but different things.

CHAPTER 2

4.1 Swing Pivot Points

A swing pivot is a visible turning point on the chart.

Examples:

- A price rises, stops, and begins falling. That high may be a swing high.
- A price falls, stops, and begins rising. That low may be a swing low.

These are visual pivot points.

Traders use them to draw:

- Support lines
- Resistance lines
- Trendlines
- Price zones
- Breakout levels

CHAPTER 3

4.2 Calculated Pivot Points

A calculated pivot point is created using a formula based on previous price data, often the previous day's:

- High
- Low
- Close

These calculated levels are often called floor-trader pivots or classic pivot points.

They produce levels such as:

- Pivot Point, often written as P
- Resistance levels, such as R1, R2, R3
- Support levels, such as S1, S2, S3

Both types are used by traders, but they are not the same.

Type	What It Means	How It Is Found
Swing pivot	A visible turning point	By looking at highs and lows on the chart
Calculated pivot	A formula-based level	By using prior high, low, and close prices

5. The Football Field Analogy

Imagine a football field.

The teams are trying to move the ball.

- Buyers are trying to move the ball toward the opponent's end zone: higher prices.
- Sellers are trying to move the ball the other way: lower prices.

The field has yard lines. Those yard lines help everyone understand position.

In trading, pivot points and support/resistance lines work like yard lines.

They help traders answer:

- Where is price now?

- What important level is nearby?
- Has price crossed into new territory?
- Did price get rejected at a key line?
- Is one team gaining control?

CHAPTER 4

The 50-Yard Line

The middle of the field is often a key reference point.

In trading, a main pivot level can act like the 50-yard line.

If price is above it, traders may say buyers have the advantage for the moment.
If price is below it, traders may say sellers have the advantage for the moment.

This is not always true, and it is not a guarantee. But it is a common way traders frame the action.

CHAPTER 5

The Goal Line

A major previous high can act like a goal line for buyers.

A major previous low can act like a goal line for sellers.

When price approaches these levels, traders watch carefully:

- Will it score by breaking through?
- Will it get stopped at the line?
- Will the other team take control?

6. Swing Highs and Swing Lows

The easiest pivot points to understand are swing highs and swing lows.

CHAPTER 6

6.1 Swing High

A swing high forms when price moves up, reaches a peak, and then moves down.

Simple example:

text
Price rises ? reaches a high ? falls

On a chart, it may look like a small mountain peak.

A swing high can become important because it shows a place where buyers previously lost strength and sellers pushed back.

Traders may draw a line across that high and call it resistance.

CHAPTER 7

6.2 Swing Low

A swing low forms when price moves down, reaches a low, and then moves up.

Simple example:

text
Price falls ? reaches a low ? rises

On a chart, it may look like a valley.

A swing low can become important because it shows a place where sellers previously lost strength and buyers stepped in.

Traders may draw a line across that low and call it support.

7. Support and Resistance: The Field Lines

Two of the most important chart concepts are support and resistance.

CHAPTER 8

7.1 Support

Support is a price area where buyers have previously been strong enough to stop or slow a decline.

Think of support as the defense making a stand near its own goal line.

Price falls toward support, and traders ask:

"Will buyers defend this area again?"

Support does not mean price must bounce. It means traders are watching for a possible reaction.

CHAPTER 9

7.2 Resistance

Resistance is a price area where sellers have previously been strong enough to stop or slow a rise.

Think of resistance as the defense blocking the offense from advancing.

Price rises toward resistance, and traders ask:

"Will sellers defend this area again?"

Resistance does not mean price must fall. It means price is reaching an area where selling pressure may appear.

CHAPTER 10

7.3 A Key Rule

Support and resistance are usually better understood as zones, not exact lines.

A beginner may think:

"The price must turn exactly at $50.00."

A more experienced trader may think:

"The $49.80 to $50.20 area has been important before, so I will watch how price behaves there."

Markets are not perfectly clean. Price can overshoot, dip below, spike above, and then return.

That is why many traders think in zones.

8. How Traders Draw Key Lines on

Charts

Drawing chart lines is not about decorating a chart. It is about identifying areas where price has shown importance.

Here is a simple process traders often use.

CHAPTER 11

Step 1: Find the Obvious Highs and Lows

Start by looking for the clearest turning points.

Ask:

- Where did price rise and then clearly fall?
- Where did price fall and then clearly rise?
- Where did price react strongly?
- Where did price pause several times?

Obvious levels matter because many traders may see them too.

In trading, a level that many people notice can become more important because more decisions may happen there.

CHAPTER 12

Step 2: Mark the High of the Day and Low of the Day

Day traders often pay attention to:

- High of day, sometimes written as HOD
- Low of day, sometimes written as LOD

These are important because they show the current day's battlefield extremes.

Using the football analogy:

- High of day is the farthest buyers have pushed the ball.
- Low of day is the farthest sellers have pushed the ball.

If price approaches the high of day again, traders may watch for:

- A breakout above it
- A rejection from it
- A failed breakout
- A pause or consolidation

If price approaches the low of day again, traders may watch for:

- A breakdown below it
- A bounce from it
- A failed breakdown
- A pause or consolidation

CHAPTER 13

Step 3: Look at Previous Day High, Low, and Close

Day traders often mark the previous day's:

- High
- Low

- Close

These levels matter because they give context.

For example:

- If today's price opens above yesterday's high, buyers may appear strong at first.
- If today's price drops below yesterday's low, sellers may appear strong at first.
- If price moves around yesterday's close, traders may see it as a balance area.

Again, none of these observations guarantee what will happen next.

They are context clues.

CHAPTER 14

Step 4: Draw Horizontal Lines Through Repeated Reactions

A level becomes more interesting when price reacts there more than once.

For example:

- Price rises to $100 and falls.
- Later, price rises to $100 again and falls.
- Later, price approaches $100 and pauses.

A trader may draw a resistance line near $100.

The logic is simple:

If price has reacted there before, it may react there again.

But "may" is the key word.

CHAPTER 15

Step 5: Use Zones Instead of Perfect Lines

If price reacted at $99.90, $100.05, and $100.20, a beginner may draw three separate lines.

A more practical approach may be to mark the whole area as a zone:

```text
$99.90 to $100.20 = possible resistance zone
```

Using the football-field analogy, this is like the red zone near the end zone.

The exact blade of grass matters less than the area of pressure.

CHAPTER 16

Step 6: Connect Rising Lows or Falling Highs

Horizontal lines show price levels.

Trendlines show direction.

A trader may draw an upward trendline by connecting rising swing lows.

This can show that buyers are stepping in at higher and higher prices.

A trader may draw a downward trendline by connecting falling swing highs.

This can show that sellers are stepping in at lower and lower prices.

CHAPTER 17

Upward Trendline

text
Low ? Higher Low ? Higher Low

This suggests buyers may be gaining ground.

CHAPTER 18

Downward Trendline

text
High ? Lower High ? Lower High

This suggests sellers may be gaining ground.

Trendlines are also not guarantees. They are guides.

9. Classic Floor-Trader Pivot Points

Some traders use formula-based pivot points.

These levels come from the previous trading period, usually the previous day.

The most common formula for the main pivot is:

```text
Pivot Point = (Previous High + Previous Low + Previous Close) ÷ 3
```

This gives a central reference level.

Then traders calculate support and resistance levels around it.

CHAPTER 19

Common Classic Pivot Formulas

Let:

- H = previous high
- L = previous low
- C = previous close
- P = pivot point

Then:

```text
P = (H + L + C) ÷ 3
R1 = (2 × P) - L
S1 = (2 × P) - H
R2 = P + (H - L)
S2 = P - (H - L)
```

Some charting platforms calculate these automatically.

CHAPTER 20

What These Levels Mean

- P is the central pivot.
- R1 is the first resistance level above the pivot.
- R2 is the second resistance level.
- S1 is the first support level below the pivot.
- S2 is the second support level.

Using the football analogy:

- P is like midfield.
- R1 and R2 are yard lines buyers aim for.
- S1 and S2 are yard lines sellers aim for.

A trader may watch how price behaves near each level.

10. Reading Price Action Around Pivot Lines

Drawing a line is only the first step. Traders also watch what price does when it gets there.

A pivot line is like a stadium camera focused on a key play.

The important question is not just:

"Did price touch the level?"

The better question is:

"How did price behave at the level?"

CHAPTER 21

10.1 Bounce

A bounce happens when price moves into a level and then turns away.

Example:

- Price falls toward support.
- Buyers step in.
- Price rises.

Football analogy:

The offense drives toward the goal line, but the defense stops them and pushes them back.

CHAPTER 22

10.2 Breakout

A breakout happens when price moves through a level that previously held it back.

Example:

- Price rises to resistance.
- Instead of falling, it pushes through.
- Traders may see this as buyers gaining strength.

Football analogy:

The offense finally breaks through the defensive line and gains open field.

CHAPTER 23

10.3 Breakdown

A breakdown is the opposite of a breakout.

Example:

- Price falls to support.
- Instead of bouncing, it drops below.
- Traders may see this as sellers gaining strength.

Football analogy:

The defense collapses, and the other team pushes through.

CHAPTER 24

10.4 Rejection

A rejection happens when price briefly moves beyond a level but quickly returns.

Example:

- Price rises above resistance.
- It cannot stay above.
- It falls back below the level.

Football analogy:

A player crosses the line but is pushed back before the play is secure.

CHAPTER 25

10.5 Retest

A retest happens when price breaks through a level and later comes back to check it again.

Example:

- Price breaks above resistance.
- Later, it pulls back to that same area.
- Traders watch to see if old resistance becomes new support.

Football analogy:

After gaining ground, the team falls back to the previous yard line and tries to hold it.

11. Common Beginner Mistakes

Pivot points are helpful, but beginners often misuse them.

CHAPTER 26

Mistake 1: Believing Lines Predict the Future

A pivot line does not tell the future.

It only shows an area where price may react.

Better thinking:

"This is a level to watch."

Not:

"Price must turn here."

CHAPTER 27

Mistake 2: Drawing Too Many Lines

A chart with too many lines becomes confusing.

If everything is important, nothing is important.

Beginners should start with the clearest levels:

- High of day
- Low of day
- Previous day high
- Previous day low
- Major swing highs
- Major swing lows
- Obvious repeated reaction zones

CHAPTER 28

Mistake 3: Ignoring the Overall Direction

A support level may not hold if the market is strongly falling.

A resistance level may not hold if the market is strongly rising.

Context matters.

In football terms, a defense may hold at one yard line during a balanced game, but if the offense has overwhelming momentum, that line may break.

CHAPTER 29

Mistake 4: Treating Exact Prices as Perfect Barriers

Markets often move slightly beyond a level before deciding what to do.

This is why experienced traders often use zones.

Instead of saying:

"Resistance is exactly $100.00."

They may say:

"There is a resistance zone around $100.00."

CHAPTER 30

Mistake 5: Forgetting Risk

Knowing where a pivot point is does not remove risk.

A trader can correctly identify an important level and still lose money if price moves against them.

Risk management is not optional.

12. A Simple Practice Routine

If you are learning, do not start by trying to trade. Start by learning to see.

Use a charting platform and practice marking levels.

CHAPTER 31

Practice Exercise

Choose one stock, index, currency pair, or futures chart.

Use a 5-minute or 15-minute chart.

Then mark:

1. High of day
2. Low of day
3. Previous day high
4. Previous day low
5. Most obvious swing high
6. Most obvious swing low
7. Any area where price reacted more than once

Then watch what price does when it returns to those areas.

Ask:

- Did price bounce?
- Did price break through?
- Did price pause?
- Did price reject?
- Did old resistance become new support?
- Did old support become new resistance?

The goal is observation, not prediction.

CHAPTER 32

The "Game Film" Method

Athletes study game film to improve.

Traders can review charts the same way.

At the end of the day, look back and ask:

- Where did the major turns happen?
- Were those turns near previous highs or lows?
- Did price respect any pivot levels?
- Where did breakouts fail?
- Where did breakouts continue?
- Which levels were obvious before the move happened?
- Which levels only looked obvious afterward?

This helps separate real-time useful levels from hindsight.

13. Risk: The Part Beginners Must

Not Skip

Pivot points are tools for analysis. They are not protection from losses.

Day trading can be risky because:

- Prices can move quickly.
- News can change market direction suddenly.
- A level can fail without warning.
- Fast decisions can lead to emotional mistakes.
- Transaction costs and slippage can affect results.

A responsible trader thinks about risk before entering a trade.

Common risk questions include:

- How much could I lose if I am wrong?
- Where would my idea be invalidated?
- Is the potential reward worth the risk?
- Am I trading based on a plan or emotion?
- Can I afford this risk?

For the general public, the most important point is simple:

Pivot points can help traders organize a chart, but they do not make trading safe or certain.

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14. Memorable Takeaway

A pivot point is like a key yard line on a football field.

It does not decide the game by itself, but it tells everyone where an important battle may happen.

Buyers and sellers meet around these levels. Sometimes one side holds the line. Sometimes the other side breaks through.

The trader's job is not to assume the line will work. The trader's job is to watch how price behaves when it gets there.

CHAPTER 33

The One-Sentence Takeaway

Pivot points are chart yard lines: they help traders see where buyers and sellers may fight for control, but they never guarantee who will win.

15. Glossary

CHAPTER 34

Pivot Point

A price level or area where traders watch for a possible turn, pause, breakout, or rejection.

CHAPTER 35

Swing High

A visible high point where price rose, peaked, and then moved lower.

CHAPTER 36

Swing Low

A visible low point where price fell, bottomed, and then moved higher.

CHAPTER 37

Support

A price area where buying pressure has previously been strong enough to slow or stop a decline.

CHAPTER 38

Resistance

A price area where selling pressure has previously been strong enough to slow or stop a rise.

CHAPTER 39

Breakout

A move above a resistance level.

CHAPTER 40

Breakdown

A move below a support level.

CHAPTER 41

Retest

When price breaks through a level and later returns to that level to test it again.

CHAPTER 42

Rejection

When price briefly moves beyond a level but quickly reverses back.

CHAPTER 43

High of Day

The highest price reached during the current trading day.

CHAPTER 44

Low of Day

The lowest price reached during the current trading day.

CHAPTER 45

Previous Day High

The highest price reached during the prior trading day.

CHAPTER 46

Previous Day Low

The lowest price reached during the prior trading day.

CHAPTER 47

Previous Day Close

The final price of the previous trading session.

CHAPTER 48

Trendline

A line drawn across rising lows or falling highs to show possible direction.

CHAPTER 49

Zone

An area of price, rather than one exact number, where traders expect possible reaction.

Final QRU Summary

Pivot points help traders locate important chart areas where price may turn, pause, break, or reject. Beginners can understand them by thinking of a football field: support and resistance are like key yard lines, the main pivot is like midfield, and highs and lows are like zones where the game may shift.

The truth is simple but not simplistic:

Pivot points help traders prepare, not predict. They mark where the action may matter most.

COLOPHON

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